

Objection and Recommendations

Draft Guide to the Taxation of Crypto Assets

Johannesburg, South Africa • 29 August 2026

Submitted to: South African Revenue Service | policycomments@sars.gov.za | Deadline: 31 August 2026

Dear South African Revenue Service,

I submit this formal objection and set of recommendations in response to the *Draft Guide to the Taxation of Crypto Assets* published by the South African Revenue Service on 1 July 2026.

The Draft Guide continues the treatment of crypto assets as intangible assets / property and leaves the critical revenue-versus-capital distinction to general case law. While that approach is consistent with current SARS administrative practice, it fails to recognise the qualitatively distinct character of Bitcoin. The result is legal uncertainty, enforcement friction, and unnecessary collision with constitutional rights.

This submission is grounded in the following publicly released works of the MoloBTC project (all under BSOL v1.0):

- *Bitcoin as Sui Generis Bearer Property* (Natural Law + Austrian Core Whitepaper, June 2026)
- *Bitcoin as Adjacent Currency under International Law* (June 2026)
- *Bitcoin Self-Custody as Sovereign Monetary Infrastructure* (Public Release v1, June 2026)
- *Open Letter on Bitcoin Separation* (30 June 2026)
- *Objection to the Draft Capital Flow Management Regulations 2026* (30 June 2026)

These documents establish the controlling intellectual framework for the positions advanced below.

Core objection

Bitcoin is **sui generis bearer property** and an **adjacent currency**. It is not interchangeable with the broader class of crypto assets.

- It has no issuer, no central control point, and no promoter.
- Its scarcity is produced by irreversible energy expenditure and enforced by global, permissionless consensus.
- Ultimate control can reside entirely as memorised knowledge (seed phrases) or through decentralised multi-party cryptographic structures.
- It requires no dedicated state infrastructure or intermediary for its existence, security, or peer-to-peer transfer.

The Draft Guide's undifferentiated treatment of "crypto assets" as a single category forces Bitcoin into legacy property boxes designed for issued or intermediary-dependent instruments. That treatment contradicts the protocol's architecture and engages the constitutional rights to property (section 25), privacy (section 14), and freedom of trade (section 22) of the Constitution of the Republic of South Africa, 1996.

Continued reliance on a facts-and-circumstances test for revenue versus capital treatment, without bright-line recognition of long-term self-custody or pure monetary holding, leaves ordinary holders exposed to retrospective re-characterisation and creates unnecessary compliance friction.

Recommendations

1. Explicit recognition of Bitcoin's distinct character

The final Guide should contain a dedicated section recognising Bitcoin as a *sui generis* bearer asset and adjacent currency, distinct from other crypto assets that possess issuers, discretionary governance, or pre-mine structures.

2. Exclusion of mere holding and self-custody transfers from taxable events

The Guide should state clearly that the mere acquisition, holding, or self-custody transfer of Bitcoin — including transfers between wallets under the common control of the same natural or juristic person, and the operation of personal full nodes — does not constitute a disposal or taxable event.

3. Limitation of taxation to realised economic activity with territorial nexus

Taxation should be confined to realised gains arising from voluntary economic activity that has a sufficient territorial nexus to the Republic. Pure peer-to-peer movement and self-custody should fall outside the tax base. Profits arising from organised business activity conducted through intermediaries are not the same as ordinary individuals transferring or bartering value across digital and physical divides using open-source community technology under their own cryptographic control.

4. Safe harbours and transitional protections

Where classification remains unsettled — particularly the revenue-versus-capital distinction and the ongoing High Court conflict on exchange-control characterisation — the Guide should provide clear safe harbours for individuals and entities acting in good faith; reasonable grace periods and non-retrospectivity for periods of regulatory uncertainty; and explicit confirmation that self-custody and personal node operation do not, by themselves, give rise to reporting or tax obligations under the Crypto-Asset Reporting Framework or the Income Tax Act.

5. Alignment with the right to sovereign private compute

The Guide should affirm that the operation of open-source Bitcoin software on personal hardware constitutes protected private computation and does not, without more, trigger tax or disclosure obligations. Bitcoin was released as a decentralised, open-source software experiment and bearer protocol. It was not designed as a centrally managed currency with fiat pricing assumptions, committees, or state guarantees.

Proposed model language

I recommend insertion of the following, or substantially similar, language in the final Guide:

“Bitcoin controlled through cryptographic means — including Bitcoin operated on nodes in private homes as part of the global decentralised network, self-custodied Bitcoin, and Bitcoin held in decentralised or multi-party control structures (whether by natural persons or juristic persons) — shall be recognised as a sui generis bearer asset and adjacent currency. The mere holding, cross-border movement, node operation, or control of such Bitcoin shall not constitute a taxable event. Taxation shall apply only to realised gains arising from voluntary economic activity with a sufficient territorial nexus to the Republic of South Africa. Adequate protections, including temporary amnesty and grace periods, shall apply where regulations or administrative guidance remain unclear or in transition.”

Conclusion

The *Draft Guide to the Taxation of Crypto Assets* presents an opportunity for SARS to move beyond undifferentiated property treatment and to recognise the distinct character of Bitcoin. Doing so would reduce legal uncertainty, protect constitutional rights, align South African practice with the economic and technical reality of the protocol, and provide a coherent foundation for future legislative development.

I urge SARS to incorporate the recommendations set out above and to treat Bitcoin as the *sui generis* bearer asset and adjacent currency that it is.

Sincerely,

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